

Cerillion PLC

Software / Telecom Infrastructure



OUMMIF | Investment Fund
School of Economics and Finance

RATING	BASE TARGET	REFERENCE PRICE	IMPLIED UPSIDE	HORIZON
BUY	£18.50	£15.75	~18%	12-24 months

Niche BSS/OSS Software Compounder — Attractive Value, Execution-Dependent Upside

COMPANY DATA

Ticker / Exchange	CER / AIM London
Reference Price	£15.75 / 1,575p
Market Cap	£464.6m
Enterprise Value	~£433.4m
Net Cash (H1 FY25)	£31.2m
Fiscal Year End	30 September
P/E Ratio (TTM)	30.2x
EPS (FY2024 Actual)	52.2p
Dividend / Yield	14.0p / ~0.9%
Sales Pipeline	£261m
Backlog / Back-order Book	£56.5m
Recurring Revenue	~35% of revenue
Consensus Target	£20.39 / 9/9 Buy

PREPARED BY

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QUMMIF Equity Research Team · 13 June 2025

KEY CATALYSTS / MONITORING POINTS

- Virgin Media Ireland launch and revenue recognition
- Armenian contract implementation and milestone
- Conversion of the £261m sales pipeline
- H2 FY25 recovery after softer H1 revenue timing
- Margin resilience amid wage inflation and software competition

VALUATION SCENARIOS

BASE CASE	BEAR CASE	BULL CASE
£18.50 +18%	£14.75 -6%	£20.46 +30%

Base DCF WACC **7.25%** Growth **g 2.5%**

Stressed WACC **8.0%**

Key sensitivities: **WACC · Revenue growth · Terminal EBIT margin**

Target price represents intrinsic value, not a guaranteed trading outcome.



Executive Summary & Investment Thesis

Investment View: Coverage of Cerillion PLC (AIM: CER) with a **BUY / High Risk** rating and a **base-case target price of £18.50**, implying approximately **18% upside** from the 13 June 2025 reference price of £15.75. The valuation is based on a revised DCF framework using a **7.25% base-case WACC** and **2.5% terminal growth rate**, reflecting Cerillion's strong margin profile and debt-free balance sheet, while also accounting for contract timing risk, customer concentration and valuation sensitivity. A higher **8.0% WACC** is retained as a stressed sensitivity case. **Bull case target price of £20.46** assumes stronger pipeline conversion, successful H2 FY2025 delivery and sustained margin resilience, while the **bear case target price of £14.75** reflects weaker execution, slower revenue growth and a higher discount rate.

Investment Pillar	Rationale
1. Mission-Critical Platform with High Switching Costs	Cerillion's integrated BSS/OSS suite sits at the operational core of telecom operators, managing billing, real-time charging, CRM and service orchestration. Once embedded, replacement carries prohibitive operational risk, underwriting average customer tenure exceeding 10 years.
2. Exceptional Revenue Visibility	A £261m sales pipeline and £56.5m back-order book (H1 FY25), together with a growing recurring revenue stream (35% of total revenues), provide meaningful near- and medium-term earnings visibility.
3. Industry-Leading Margin Profile	Gross margins of ~80% and EBITDA margins expanding from 33.9% (FY21) to 47.7% (FY24) reflect the company's asset-light, offshore-enabled delivery model, a structural cost advantage that supports strong conversion of incremental revenue into free cash flow.
4. Debt-Free Balance Sheet	Zero financial debt and a £31.2m net cash position (H1 FY25) eliminate financing risk and fund organic R&D and progressive dividend growth without dilution.
5. Risk-Adjusted Valuation Framework	Our conservative base-case DCF implies a target price of £18.50 , representing approximately 18% upside from the £15.75 reference price. The bull case target price of £20.46 is supported by sell-side consensus of £20.39 and would require stronger pipeline conversion, successful H2 FY2025 delivery and sustained investor confidence in Cerillion's long-term software moat. The bear case target price of £14.75 reflects weaker execution, slower revenue growth and higher discount-rate pressure.

Key Risk to Rating: Customer concentration, contract timing risk from milestone-based revenue recognition, valuation sensitivity to WACC assumptions and potential AI-led disruption concerns in enterprise software are the main risks that could delay or reduce upside realisation. These risks justify our **High Risk** classification, our more conservative base-case valuation and the inclusion of a bear case scenario.

Company Overview

Cerillion is a founder-led, debt-free enterprise software provider serving telecom operators through a modular BSS/OSS platform. Its investment case is supported by high switching costs, recurring revenue, strong margins and exposure to long-term telecom digital transformation, although revenue timing remains dependent on large contract delivery milestones.

Business History & Model

Cerillion was established in October 1999 following the management buyout of Logica's internal Customer Care and Billing division, a unit with software development and maintenance roots dating back to 1969. Following the MBO, Cerillion became an independent enterprise software provider focused on integrated Business Support Systems (BSS) and Operations Support Systems (OSS) for subscription-based telecom operators.

The company's core product is a modular BSS/OSS suite supporting customer relationship management, service provisioning, real-time charging, billing, payments and analytics. BSS refers to the commercial and customer-facing systems used by telecom operators, while OSS refers to the operational systems used to manage network infrastructure and service delivery. Cerillion monetises this platform through software licensing, SaaS contracts, recurring maintenance and support, and professional services linked to implementation, configuration and managed upgrades.

From an investment perspective, this model combines high-margin software revenue with long-term customer stickiness. Once embedded in a telecom operator's billing and service infrastructure, Cerillion's platform becomes difficult to replace without operational disruption, supporting customer retention and recurring revenue. However, the business is not a pure SaaS subscription model: large implementation projects, licence extensions and milestone-based delivery can create uneven revenue recognition across reporting periods. This timing risk is a key factor behind our **BUY / High Risk** rating and our more conservative base-case valuation.

BSS / OSS Product Suite

Cerillion's platform connects customer-facing commercial workflows with network-facing operational workflows, making the system deeply embedded in telecom operators' daily operations.

Business Support Systems (BSS)	Operations Support Systems (OSS)
Digital Engagement & Customer Care	Network Planning & Capacity Management
Product Catalogue & Order Management	Service Connection & Provisioning
Real-Time Billing & Payments	Real-Time Charging & Balance Management
Credit Control / Collections	Service Disconnection & Workflows
Analytics & Revenue Assurance	Network Analytics & Performance Insights

This breadth of functionality increases switching costs, as customers rely on Cerillion across both commercial and network-facing workflows. This supports customer retention and creates opportunities to cross-sell additional modules over time.

Revenue Mix & Geographic Footprint

Cerillion's FY2024 revenue mix is broadly balanced between software licensing and professional services, with software representing 49% of revenue, professional services 46%, and other revenue 5%. The company serves 75 installations across 45 countries, with Europe representing the largest revenue region at 70% of FY2024 revenue.

Revenue by Type (FY2024)		Revenue by Geography (FY2024)	
Software Licensing	49%	Europe	70%
Professional Services	46%	Asia-Pacific	19%
Other (hosting & third-party)	5%	MEA	9%
		Americas	2%

Source: Cerillion FY2024 Annual Report.

This revenue mix highlights Cerillion's hybrid model. Software licensing supports high gross margins and scalability, while professional services remain important for implementation, configuration and managed upgrades. This creates strong margin potential, but also introduces project-timing risk, as revenue recognition can depend on customer milestones and delivery schedules. Geographically, Europe provides a stable core revenue base, while Asia-Pacific and MEA offer longer-term expansion opportunities as telecom operators modernise legacy BSS/OSS infrastructure.

Management & Major Shareholders

Cerillion is led by CEO and co-founder Louis Hall, who has over 30 years of enterprise software experience. CFO Andrew Dickson, appointed in February 2022, brings over 20 years of finance leadership experience from Vitec Group, Smiths Group and Deloitte. The board is supported by two independent non-executive directors, Alan Howarth and Mike Dee, who chair the company's board committees.

Louis Hall's 30.47% ownership provides strong alignment with shareholders and reinforces the founder-led nature of the business. However, this also creates key-person and succession-planning considerations, particularly given his central role in Cerillion's strategic direction and commercial relationships.

Shareholder	Stake	Shareholder	Stake
Louis Hall (CEO / Founder)	30.47%	Canaccord Genuity Wealth Management	4.96%
Gresham House Asset Management	8.72%	JP Morgan Asset Management	3.92%
Rathbone Investment Management	7.80%	Charles Stanley	3.29%
Hargreaves Lansdown Asset Management	2.56%	Schroder Investment Management	2.33%
Puma Investments	1.81%	BlackRock Investment Management	1.31%

Source: Equiniti Limited; data as at 13 June 2025.

Industry Outlook & Competitive Landscape

Market Opportunity

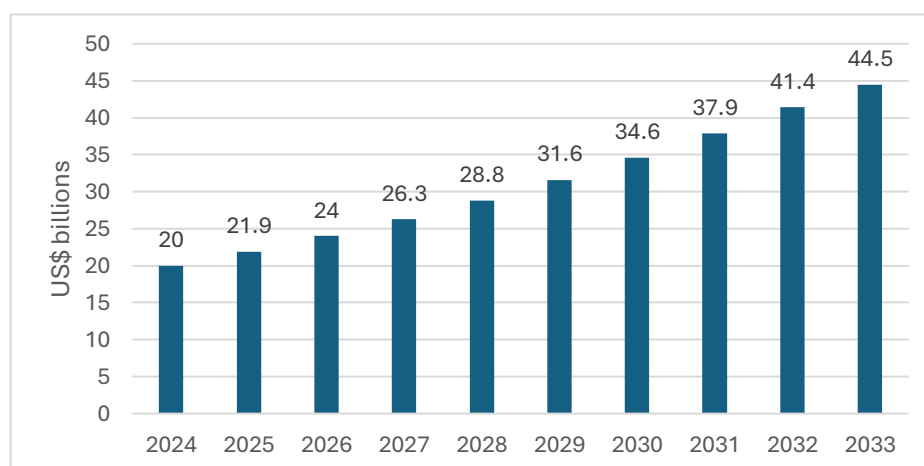
The global OSS/BSS market provides Cerillion with a sizeable long-term addressable opportunity, supported by telecom operators' ongoing need to modernise billing, customer management, charging and service orchestration infrastructure. However, the company remains a small specialist vendor within a market contested by larger global software providers. This creates a long growth runway, but also means that execution, pipeline conversion and customer retention are critical to converting market opportunity into shareholder value.

Market Layer	Size (2024E)	Commentary
Total Addressable Market (TAM)	\$67.7bn	Full global OSS/BSS software & services (IMARC Group)
Serviceable Addressable Market (SAM)	\$16.9bn	Mid-tier telecom operators; ~25% of TAM
Cloud-Native / SaaS Segment	\$6.8bn	~40% of SAM; fastest-growing sub-segment, with estimated ~15% CAGR to 2030
Cerillion FY2024 Revenue	~\$55m (£43.75m)	Implied market share: ~0.81% of cloud-native SAM
Market CAGR Forecast 2024–2033	9.5% p.a.	Driven by 5G, cloud-native adoption, and emerging markets

Source: IMARC Group, Allied Market Research, Cerillion FY2024 Annual Report

Cerillion's implied sub-1% share of the cloud-native/SaaS serviceable market supports the long-term growth opportunity. However, given the company's small scale relative to the addressable market and the presence of larger competitors, it has been decided to not assume automatic share capture. The valuation therefore uses a more conservative base case, with additional upside beyond the base case dependent on successful contract execution and sustained differentiation of Cerillion's modular BSS/OSS platform.

Global BSS/OSS Market Size Forecast, 2024–2033



Source: IMARC Group

The forecast 9.5% CAGR provides a supportive market backdrop for Cerillion, but market growth alone does not guarantee revenue capture. The company's ability to benefit from this growth depends on pipeline conversion, delivery execution and continued differentiation against larger vendors.

Key Industry Tailwinds

- **5G Monetisation:** As at September 2024, 5G had launched in 114 countries, with more than 2 billion connections across 285 operators. Telecom operators monetising next-generation networks require real-time, cloud-native charging, which is a core Cerillion competency.
- **Cloud-Native Migration:** Operators are moving away from legacy physical-server architectures in favour of cloud-native BSS/OSS platforms. This structural shift drives demand for modular, API-first platforms with rapid deployment timelines.
- **BSS/OSS Convergence:** The historic separation between commercial BSS and technical OSS systems is narrowing as operators seek unified platforms. Cerillion's integrated suite is well positioned for this shift.
- **Emerging Market Upgrades:** Africa, Eastern Europe and Asia-Pacific are accelerating legacy infrastructure replacement. Asia-Pacific is the fastest-growing BSS/OSS sub-market globally, with an estimated ~15% CAGR to 2030. Cerillion's India engineering hub and Armenian contract win position it to benefit from this trend, although execution and localisation remain important.

These industry tailwinds support Cerillion's long-term growth opportunity, but their conversion into reported revenue is not immediate. Large telecom software projects can involve long sales cycles, phased implementation and milestone-based revenue recognition. As a result, market growth supports the investment case but does not remove near-term execution risk.

Competitive Landscape — Porter's Five Forces

Cerillion operates in an attractive but highly contested BSS/OSS software market. The company benefits from technical barriers to entry, high switching costs and in-house IP development, but faces meaningful buyer concentration, substitution risk and competitive pressure from larger global vendors.

Competitive Force	Intensity	Analysis
Threat of New Entrants	LOW	Full-suite BSS/OSS platforms require deep telecom expertise, regulatory knowledge, client trust and sustained R&D. Cerillion's more than 20-year product history and mission-critical integration create high entry barriers.
Bargaining Power of Suppliers	LOW	Cerillion develops most of its IP in-house across London, Pune and Sofia, limiting reliance on external software vendors. This protects product roadmap control, delivery speed and gross margin resilience.
Bargaining Power of Buyers	MODERATE-HIGH	Top-5 customers represent 51.5% of FY2024 revenue, giving large clients negotiating leverage. High switching costs, long-term contracts and mission-critical billing integration partially offset this risk.
Threat of Substitutes	MODERATE	Substitution risk comes from full-suite vendors, in-house builds and AI-enabled software tools. Cerillion mitigates this through modularity, revenue assurance expertise and long-term customer relationships.
Competitive Rivalry	HIGH	Cerillion competes with global vendors, regional specialists and SaaS-native players. Its positioning relies on mid-market focus, rapid deployment, cost-efficient delivery and standardised SaaS functionality.

Source: QUMMIF Analysis; Cerillion FY2024 Annual Report

Customer Concentration Snapshot

Customer Group	FY2024 Revenue Share
Largest Customer	21.4%
Top 5 Customers	51.5%
Top 10 Customers	75.3%
Top 20 Customers	96.3%

Source: Cerillion FY2024 Annual Report.

Overall, Cerillion's competitive position is attractive but not risk-free. The company benefits from high technical barriers, mission-critical customer integration and a capital-light delivery model. However, customer concentration remains the main source of buyer power, with the top five customers representing 51.5% of FY2024 revenue. Large-vendor competition and potential substitution from in-house or AI-enabled software solutions further justify a more conservative valuation framework and support our **BUY / High Risk** classification.

Drivers of Long-Term Value Creation

Cerillion's long-term value creation depends on converting its sales pipeline into high-margin software and services revenue while maintaining customer retention, margin resilience and product relevance. Five structural drivers has been identified supporting the investment case, although their impact on valuation remains dependent on execution, contract timing and customer adoption.

1. Large-Contract Wins with Tier-1 Operators	The consistent ability to secure large, margin-rich contracts with leading operators, including Virgin Media Ireland (€12.4m), Telesur and Cable & Wireless Seychelles, remains Cerillion's primary top-line growth driver. Each Tier-1 win validates the company's technical credentials and expands its reference client portfolio. However, the timing of large contract delivery and milestone recognition remains a key source of revenue volatility.
2. Superior Customer Retention Driving Recurring Revenue	Customer relationships typically exceed 10 years, reflecting the mission-critical nature of Cerillion's BSS/OSS platform. Completed implementations convert into recurring maintenance, support and SaaS-related revenue, improving visibility and customer stickiness. This supports the long-term investment case, although revenue concentration means the renewal and performance of major accounts remain important.
3. Secular Tailwinds: 5G, Cloud-Native & Emerging Markets	Long-term demand is supported by telecom digital transformation, 5G monetisation, cloud-native migration and emerging market infrastructure upgrades. These trends provide a favourable market backdrop and support above-market growth potential. However, our base-case valuation applies more conservative assumptions to reflect long sales cycles, contract timing risk and the need for continued pipeline conversion.
4. Agile, Out-of-the-Box Modular Architecture	Cerillion's SaaS-native, modular platform deploys in shorter timeframes than bespoke competitors, reducing implementation risk and total cost of ownership. Clients can select specific modules, including billing, CRM, charging and analytics, without adopting a monolithic platform, accelerating sales cycles and enabling cross-sell and upsell. The key risk is that larger vendors may increasingly compete with bundled or AI-enhanced telecom software offerings.
5. Capital-Light Offshore Delivery Model	Development and service delivery centres in Pune and Sofia provide access to skilled engineering talent at a lower cost base than UK or US equivalents. This supports high gross margins and enables competitive pricing while sustaining Cerillion's capital-light model. The main risks are wage inflation, talent retention and potential operational disruption in offshore delivery centres, which could pressure margins if not managed effectively.

Taken together, these drivers support a positive long-term view on Cerillion. However, because several drivers depend on contract execution and customer timing rather than purely recurring subscription revenue, it has been retaining a conservative base-case target price and treat the **bull case** as dependent on stronger execution.

Risk Assessment

Cerillion's investment thesis is supported by strong margins, high customer retention and a debt-free balance sheet, but the risk profile remains meaningful. The main risks relate to customer concentration, contract timing, valuation sensitivity and competitive pressure from larger or AI-enabled software providers. These factors justify our **BUY / High Risk** rating and our more conservative base-case valuation.

Key Risk Factors

Risk Factor	Severity	Description & Impact	Mitigant
Customer Concentration	HIGH	Top 5 customers represented 51.5% of FY2024 revenue, with the largest customer accounting for 21.4%. Any non-renewal, implementation delay or dispute with a major client could materially affect revenue visibility and investor sentiment.	Long-term contracts, high switching costs and mission-critical billing integration reduce churn probability. Diversifying the pipeline across geographies and operator tiers also helps mitigate concentration risk over time.
Contract Timing / Revenue Lumpiness	MEDIUM	Revenue is recognised around project milestones, so delays in client sign-off or implementation can create period-to-period volatility and complicate near-term forecasting.	Growing recurring revenue, currently around 35% of total revenue, provides a partial smoothing effect. A higher SaaS and support mix should gradually reduce dependence on project-based recognition.
AI / Technology Disruption Risk	MEDIUM	AI-enabled tools and larger platform vendors may challenge traditional enterprise software pricing, implementation models and customer expectations, increase competitive pressure and reduce perceived moat durability.	Cerillion's telecom-specific domain expertise, mission-critical integration and modular architecture reduce immediate disruption risk. Continued R&D investment and AI-enabled product enhancements may support product relevance over time.
Valuation Sensitivity	MEDIUM	The DCF remains sensitive to WACC, terminal growth and terminal EBIT margin. Small changes in these assumptions can materially affect implied equity value.	Our base-case DCF uses a 7.25% WACC and 2.5% terminal growth rate, resulting in a £18.50 target price. A higher 8.0% WACC is retained as a stressed sensitivity case, while the £20.46 target represents the bull case under stronger execution and faster pipeline conversion.

Source: QUMMIF Analysis; Cerillion FY2024 Annual Report & H1 FY2025 Interim Report

Additional Risk Factors

Risk Factor	Severity	Description & Impact	Mitigant
Offshore Delivery Risk	MEDIUM	Operations in India and Bulgaria expose Cerillion to wage inflation, talent attrition, geopolitical disruption and regulatory changes affecting cross-border delivery.	A multi-centre delivery model, local compensation structures, LTIP/SAYE schemes and employee training reduce reliance on any single geography or team.
Macroeconomic Sensitivity	MEDIUM	Economic downturns may cause telecom operators to defer or reduce software modernisation programmes, affecting pipeline conversion, project start dates and revenue recognition.	Cerillion's software supports operators' ability to monetise 5G and fibre investments, making it less discretionary than general IT spend. The debt-free balance sheet provides additional resilience.
Foreign Exchange Risk	LOW-MEDIUM	Over 90% of revenue is generated outside the UK. Sterling appreciation against EUR, USD or AED could reduce reported revenue and profits.	Offshore costs in INR and BGN provide a partial natural hedge against foreign currency revenues. Management may also use forward contracts if exposure increases materially.
Regulatory & Compliance Risk	LOW	Operating across 45+ jurisdictions exposes Cerillion to evolving telecom regulation, data protection laws, software export controls and local compliance requirements.	Compliance functionality is embedded into Cerillion's product architecture, enabling adaptation to local regulatory changes. QCA Code adherence also supports governance and risk oversight.

Source: QUMMIF Analysis; Cerillion FY2024 Annual Report & H1 FY2025 Interim Report

Overall, Cerillion's risk profile remains manageable but material. Customer concentration, contract timing and valuation sensitivity are the key risks most likely to affect near-term share price performance, while AI-related disruption and larger-vendor competition represent longer-term strategic considerations. These risks do not undermine the long-term investment case, but they justify our **BUY / High Risk** rating, the use of a more conservative base-case DCF, the inclusion of a bear case scenario and a **12-24 month** investment horizon.

Financial Analysis & Forecast Assumptions

Historical Financial Performance

Financial Metric	FY2022	FY2023	FY2024	FY2025E	FY2026E
Revenue (£m)	32.73	39.17	43.75	47.25E	51.03E
Revenue Growth (%)	25.5%	19.7%	11.7%	8.0%E	8.0%E
Gross Margin (%)	78.3%	78.7%	80.5%	80.5%E	80.8%E
EBITDA Margin (%)	37.0%	41.5%	47.7%	~47.0%E	~47.5%E
EBIT Margin (%)	32.7%	39.0%	42.1%	40.0%E	39.5%E
Net Cash (£m)	20.25	24.74	29.85	34.0E	39.5E
EPS (p)	35.2p	46.2p	52.2p	48.1pE	51.3pE
ROE (%)	39.8%	40.7%	35.7%	29.5%E	25.9%E
ROIC (%)	32.9%	34.6%	31.2%	28.9%E	27.8%E
DPS (p)	9.1p	11.3p	13.2p	14.0pE	15.0pE
P/E Ratio (x)	31.3x	28.8x	30.2x	32.7xE	30.7xE

Source: MarketScreener, Cerillion Annual Reports; E = QUMMIF revised base-case estimates as at 13 June 2025

Note: FY2025E–FY2026E estimates reflect QUMMIF revised base-case assumptions, including 8.0% annual revenue growth, moderate margin normalisation and a 25% tax rate.

Revenue Analysis & Growth Assumptions

Cerillion's revenue has compounded at a five-year CAGR of approximately 20% between FY2019 and FY2024, supported by large contract wins, a growing recurring revenue base and strong demand for telecom software modernisation. As at H1 FY2025, total revenue reached £20.9m, supported by a £261m sales pipeline and a £56.5m back-order book.

For the revised base case a more conservative explicit forecast growth assumption of approximately 8.0% per annum over FY2025–FY2029 has been applied. This remains supported by the broader BSS/OSS market growth backdrop, but reflects H1 FY2025 revenue timing softness, milestone-based recognition risk and the need for continued pipeline conversion. A higher 12.0% revenue growth assumption is retained only in the bull case, not in our base case.

Clarification: The base-case explicit forecast uses approximately 8.0% annual revenue growth, while the bull case assumes faster pipeline conversion and revenue growth closer to 12.0%. The terminal growth rate is 2.5% in the base case to reflect a more conservative long-term assumption. The base-case valuation uses a 7.25% WACC, while 8.0% is retained as a stressed sensitivity case.

Profitability & Margin Profile

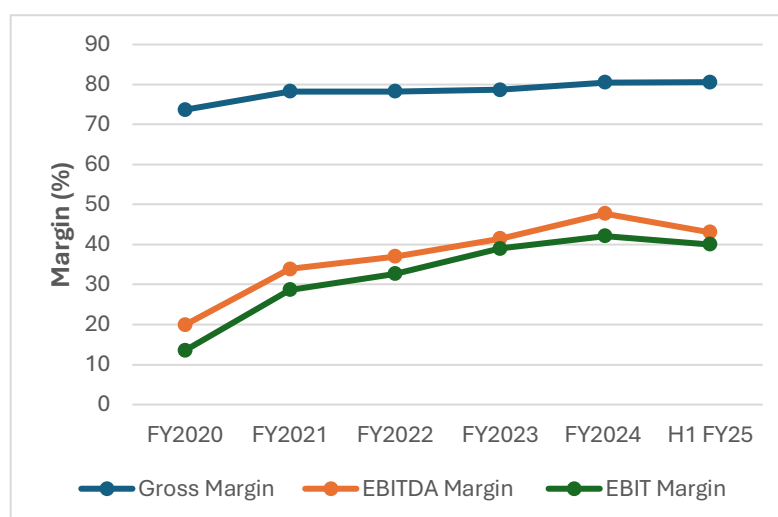
Gross margins have expanded from 73.7% in FY2020 to 80.6% in H1 FY2025, supported by the increasing share of high-margin software licensing and the scalability of the offshore delivery model. EBITDA margin reached 47.7% in FY2024, highlighting Cerillion's strong operating leverage. However, the revised base case assumes more moderate margin progression, with EBITDA margin stabilising between 47% and 48%, and EBIT margin normalising toward 39% to 40%, reflecting wage inflation, delivery investment and conservative execution assumptions.

Margin Metric	FY2020	FY2021	FY2022	FY2023	FY2024	H1 FY25
Gross Margin	73.7%	78.3%	78.3%	78.7%	80.5%	80.6%
EBITDA Margin	19.9%	33.9%	37.0%	41.5%	47.7%	43.1*
EBIT Margin	13.5%	28.7%	32.7%	39.0%	42.1%	~40%

Source: Cerillion Annual Reports; Company Data

Note: H1 FY2025 EBITDA margin reflects seasonality in milestone recognition; full-year margins are expected to recover.

Margin Expansion, FY2020–H1 FY2025



The margin trend demonstrates Cerillion's operating leverage, with EBITDA margin expanding from 19.9% in FY2020 to 47.7% in FY2024. H1 FY2025 margin softness reflects milestone-recognition seasonality rather than structural deterioration, although our base case assumes margins stabilise rather than continue expanding materially.

Balance Sheet & Cash Generation

Cerillion operates with a highly conservative capital structure, remaining debt-free while growing net cash from £20.2m in FY2022 to £31.2m in H1 FY2025. The company's liabilities are primarily operating payables and lease-related obligations rather than financial debt. This supports balance sheet resilience and preserves flexibility for R&D investment, dividends and employee incentives. However, the strong cash position does not remove execution risk linked to contract timing and milestone-based revenue recognition.

Balance Sheet Item	FY2022	FY2023	FY2024	H1 FY25
Net Cash (£m)	£20.2m	£24.7m	£29.9m	£31.2m
Borrowings / Financial Debt	Nil	Nil	Nil	Nil
Trade & Other Payables (£m)	£10.2m	£10.9m	£10.6m	£10.9m
Current Lease Liabilities (£m)	£1.0m	£1.0m	£0.9m	£1.0m
Non-Current Lease Liabilities (£m)	£3.1m	£2.2m	£1.9m	£2.8m
Other Payables, Non-Current (£m)	£1.7m	£1.8m	£1.2m	£0.7m

Source: Cerillion Annual Reports; H1 FY2025 Interim Report (31 March 2025)

Working Capital Framework

Working Capital Item	FY21	FY22	FY23	FY24	4-Yr Avg.	Commentary
Trade Receivables (% rev.)	6.5%	7.6%	7.3%	9.6%	7.8%	Invoiced but not yet collected
Contract Assets (% rev.)	37.2%	30.1%	39.7%	42.0%	37.2%	Revenue recognised ahead of invoicing
Prepayments (% rev.)	1.8%	1.9%	3.1%	5.2%	3.0%	Prepaid operating items; asset-light model
Trade Payables (% rev.)	1.9%	3.5%	2.2%	2.1%	2.4%	Low external supplier dependency
Contract Liabilities (% rev.)	18.3%	14.1%	12.9%	8.1%	13.3%	Customer advance payments / deferred income
Accruals / Other Payables (% rev.)	11.0%	10.7%	9.9%	9.8%	10.3%	Relatively stable operating accrual base

Source: Cerillion Annual Reports FY2021–FY2024; QUMMIF Analysis

Cerillion's working capital profile reflects the milestone-based nature of its contracts. High contract assets indicate revenue recognised ahead of invoicing, while contract liabilities reflect customer advance payments for future delivery. This structure supports cash visibility, but can create timing mismatches between reported revenue, invoicing and cash conversion, reinforcing the need for conservative forecasting.

Corporate Governance

Cerillion's governance structure reflects a founder-led business with increasingly institutional oversight. CEO Louis Hall has built and steered the company since the 1999 MBO, delivering market capitalisation growth from approximately £20m at the 2016 IPO to over £560m as at 13 June 2025. This represents a strong value creation record and demonstrates disciplined execution aligned with shareholder interests.

Governance Area	Assessment
Board Composition	Executive leadership is led by CEO Louis Hall and CFO Andrew Dickson, supported by two fully independent NEDs, Alan Howarth and Mike Dee. All three board committees, Audit, Remuneration and Nomination, are chaired by independent directors, supporting conflict-free oversight.
QCA Code Adherence	As an AIM-listed company, Cerillion follows the QCA Corporate Governance Code, supporting regular risk register reviews, board accountability, transparent reporting and annual committee effectiveness assessments.
Audit & Risk Controls	The Audit Committee reviews financial reporting, internal controls and auditor independence. Regular risk register updates help the Board monitor operational, financial and regulatory exposures across multiple jurisdictions.
Capital Efficiency	ROE and ROIC expanded materially from FY2020 to FY2024, reflecting strong capital discipline, high margins and efficient reinvestment of the company's asset-light software model.
R&D Investment	In FY2024, Cerillion allocated 12,795 man-days to R&D, approximately 2,000 more than FY2023, focused on billing, charging and CRM capabilities. Sustained product investment supports Cerillion's competitive moat and long-term product relevance.
Areas for Monitoring	Executive compensation disclosure could be enhanced as the company scales. Reliance on two independent NEDs across all committees may also become a governance capacity constraint over time. The absence of a formal public CEO succession plan introduces key-person risk that should be monitored.

Overall assessment: Cerillion's governance framework is supportive of long-term value creation, with strong founder alignment, disciplined capital allocation and evidence of sustained R&D investment. However, founder dependency, limited NED capacity and succession-planning transparency remain areas to monitor as the company scales.

Financial Valuation

Methodology: Discounted Cash Flow (DCF)

Derived revised base-case target price of **£18.50** using a DCF model with a five-year explicit forecast period, FY2025–FY2029, and a Gordon Growth terminal value. Given Cerillion's debt-free capital structure, WACC is driven primarily by the cost of equity. Used a revised base-case **WACC of 7.25%**, above the CAPM-implied cost of equity to reflect AIM liquidity, customer concentration, contract timing risk and execution-dependent upside. A **higher 8.0% WACC** is retained as a stressed sensitivity case.

DCF Parameter	Assumption	Rationale
Risk-Free Rate (Rf)	4.00%	Normalised UK 10-year gilt yield assumption, avoiding short-term volatility in spot rates.
Equity Beta (β)	0.54	5-year daily regression of CER vs FTSE 100, reflecting low historical correlation with the broader market.
Equity Risk Premium (ERP)	5.13%	Damodaran UK equity risk premium estimate.
Cost of Equity / WACC	7.25%	CAPM-implied cost of equity of approximately 6.8%, adjusted upward to reflect AIM liquidity, customer concentration, contract timing risk and execution uncertainty.
Revenue Growth (FY25–29E)	8.0% p.a.	Conservative base-case growth assumption reflecting contract timing, pipeline conversion risk and the need for continued execution in large telecom software projects.
EBIT Margin (FY25–26E)	40.0% FY25E / 39.5% FY26E	Reflects margin normalisation after the FY2024 peak and H1 FY2025 timing softness.
EBIT Margin (FY27–29E)	40.0%	Stable medium-term margin assumption supported by high gross margins, operating leverage and the capital-light delivery model.
EBIT Margin (Terminal Year)	39.0% to 40.0%	Long-run sustainable margin range for a high-quality vertical software business, adjusted for wage inflation and competitive pressure.
D&A (% of Revenue)	4.45%	Historical average over FY2021–FY2024.
Capex (% of Revenue)	4.10%	Historical average over FY2021–FY2024.
Terminal Growth Rate (g)	2.5%	Conservative long-term nominal growth assumption reflecting mature software market growth and terminal value sensitivity.
Tax Rate	25.0%	UK corporation tax assumption.

Base Case DCF Output

Item (£m unless stated)	FY2025E	FY2026E	FY2027E	FY2028E	FY2029E	Terminal
FCFF (£m)	15.20	17.40	19.90	23.10	28.40	—
Discount Factor	0.93	0.87	0.81	0.76	0.70	0.70
Discounted CF (£m)	14.17	15.13	16.13	17.46	20.01	431.88
Enterprise Value (£m)	514.8		(+)Net Cash (£m)		31.2	
Equity Value (£m)	546.0		Shares Outstanding (m)		29.50	
BASE CASE TARGET PRICE	£18.50 per share (+18%)					

Note: Target price represents intrinsic value under revised base-case assumptions, not a guaranteed trading outcome. The DCF remains sensitive to WACC, terminal growth, FCFF conversion and long-term margin assumptions. Source: QUMMIF DCF Model. The DCF-derived enterprise value of £514.8m represents intrinsic value under our base-case assumptions and should not be confused with the current market enterprise value of approximately £433.4m based on the £15.75 reference price and £31.2m net cash position.

Sensitivity Analysis — Target Price (£)

Given the DCF's sensitivity to terminal value assumptions, we present a sensitivity matrix across WACC and terminal growth scenarios. Our revised base case uses a **7.25% WACC** and **2.5% terminal growth rate**, producing a target price of **£18.50**. A higher **8.0% WACC** is retained as a stressed sensitivity case, while the **£20.46 scenario represents our bull case**.

WACC → / g ↓	6.25% (Low Risk)	6.75% (Conservative)	7.25% (Base ★)	7.75% (Higher Risk)	8.0% (Stressed)
1.5% (Bear)	£18.20	£16.80	£15.55	£14.45	£13.95
2.0% (Below Base)	£19.65	£18.10	£16.75	£15.55	£14.95
2.5% (Base)	£21.35	£20.46	£18.50	£17.10	£16.40
3.0% (Optimistic)	£23.51	£21.80	£20.00	£18.40	£17.60
3.5% (Bull)	£26.20	£24.10	£21.90	£20.15	£19.20

Note: The base case is marked with a star. Values below the £15.75 reference price imply downside. The £20.46 scenario represents the bull case, while values around £14.75 represent stressed downside outcomes under higher discount-rate and lower-growth assumptions. Source: QUMMIF DCF Model.

Bull Case Scenario — Upside Sensitivity and Lower Risk Premium

This upside sensitivity primarily reflects a lower perceived risk premium and stronger investor confidence in Cerillion's execution profile, rather than a materially different operating forecast. This scenario is not our central case but illustrates the upside potential if Cerillion executes ahead of our conservative assumptions.

Item (£m unless stated)	FY2025E	FY2026E	FY2027E	FY2028E	FY2029E	Terminal
FCFF (£m)	15.50	18.20	20.50	23.50	30.00	—
Discount Factor	0.94	0.88	0.82	0.77	0.72	0.72
Discounted CF (£m)	14.52	15.97	16.85	18.10	20.19	486.74
Enterprise Value (£m)	572.4		(+)Net Cash (£m)		31.2	
Equity Value (£m)	603.6		Shares Outstanding (m)		29.50	
BULL CASE TARGET PRICE	£20.46 per share (+30%)					

Note: Bull case assumes stronger pipeline conversion, faster revenue growth and lower perceived execution risk than the revised base case. Source: QUMMIF DCF Model.

Bear Case Scenario — Slower Execution and Higher Risk Premium

The bear case assumes slower pipeline conversion, weaker contract timing, lower terminal growth and a higher discount rate. This scenario reflects downside risk if large contract delivery is delayed, revenue recognition remains lumpy or investor risk appetite toward AIM software names deteriorates.

Item (£m unless stated)	FY2025E	FY2026E	FY2027E	FY2028E	FY2029E	Terminal
FCFF (£m)	15.20	17.40	19.90	23.10	27.90	—
Discount Factor	0.93	0.86	0.79	0.74	0.68	0.68
Discounted CF (£m)	14.07	14.92	15.80	16.98	18.99	322.70
Enterprise Value (£m)	403.5		(+) Net Cash (£m)		31.2	
Equity Value (£m)	434.7		Shares Outstanding (m)		29.50	
BEAR CASE TARGET PRICE	£14.75 per share (-6%)					

Note: Bear case assumes higher discount-rate pressure, lower terminal growth and weaker execution than the revised base case. Source: QUMMIF DCF Model.

Sell-Side Analyst Consensus

Sell-side consensus provides an external cross-check for the upper end of our valuation range rather than direct validation of our base case. The consensus average target price of **£20.39** sits close to **our £20.46 bull case**, while our revised **£18.50 base-case** target reflects more conservative assumptions on WACC, terminal growth and execution risk. All nine analysts listed maintain Buy ratings, supporting the view that Cerillion's strategic position remains attractive despite near-term timing and concentration risks.

Brokerage / Firm	Analyst	Rating	Target Price (£)	Date
Peel Hunt	Damindu Jayaweera	BUY	£20.20	06 Apr 2025
Sadif Investment Analytics	Team Coverage	BUY	£17.60	06 Feb 2025
Deutsche Bank	Jasmine Rand	BUY	£19.00	21 May 2025
Investec	Roger Phillips	BUY	£21.00	19 May 2025
Canaccord Genuity	Kai Folker Korschelt	BUY	£23.50	19 May 2025
Berenberg	Ciaran Donnelly	BUY	£21.25	19 May 2025
Panmure Liberum	Andrew Ripper	BUY	£20.00	19 May 2025
Cavendish	Andrew Darley	BUY	£22.00	19 May 2025
Singer Capital Markets	Harold Evans	BUY	£19.00	21 Oct 2024
Consensus Average		9/9 BUY	£20.39	

Source: Bloomberg; all data as at 13 June 2025

Note on Recent Events — CEO Share Sale

On 12 June 2025, one day prior to this report's publication, CEO and founder Louis Hall sold approximately 10.3% of his personal shareholding (~3.0 million shares) at 1,500 pence per share, raising approximately £45.6 million. The transaction was conducted via an accelerated bookbuild led by Panmure Liberum Limited and represents his first open-market disposal since 2017.

Transaction Detail	Summary
Date	12 June 2025
Shares Sold	~3.0 million shares (10.3% of Hall's prior holding)
Sale Price	1,500 pence per share (4.8% discount to pre-announcement close)
Gross Proceeds	~£45.6 million
Mechanism	Accelerated bookbuild, led by Panmure Liberum Ltd
Hall's Retained Stake	Slightly above 20% remains single largest shareholder
Demand	'Very strong'; transaction significantly oversubscribed at the larger size
Investor Base	New and existing UK, US and European institutional investors
Lock-in	365-day lock-in, followed by a further 180-day orderly market provision
Company Proceeds	Nil; Cerillion did not receive proceeds from the placing

Investment Implications

Short-Term: Negative Sentiment Risk: Insider sales of this magnitude commonly trigger negative price reactions as occurred on 12–13 June 2025. This short-term volatility does not, in our assessment, alter the fundamental investment thesis.

Medium-Term: Positive Liquidity Effect: The transaction is likely to expand Cerillion's free float, potentially qualifying the stock for additional index inclusion and drawing incremental institutional ownership, which typically narrows the AIM liquidity discount.

Long-Term: Founder Alignment Preserved: With a retained stake exceeding 20%, Hall remains the company's largest shareholder and retains strong economic alignment with minority shareholders. His decision to remain substantially invested signals continued confidence in the company's strategic trajectory.

Valuation Context: The sale at 1,500p represented a 4.8% discount to the pre-announcement price a conventional and entirely standard accelerated bookbuild clearing discount (typically 3–5%). The 1,500p sale price should not be interpreted in isolation as a direct signal of intrinsic value, given the liquidity, size and bookbuild mechanics of the transaction.

Conclusion: We view the CEO share sale primarily as a personal liquidity and free-float event rather than a deterioration in Cerillion's fundamental outlook. The oversubscribed bookbuild, Hall's retained 20.1% ownership and the 365-day lock-in support continued founder alignment. However, the disposal may weigh on near-term sentiment, reinforcing our **BUY / High Risk** rating, **our £18.50 base-case target price**, and the need for a **12–24 month** investment horizon.

Conclusion & Investment Recommendation

INVESTMENT RECOMMENDATION SUMMARY			
Rating	Target Price	Implied Upside	Time Horizon
BUY	£18.50	~18%	12-24 Months

Bear case	Base case	Bull Case
£14.75 (-6%)	£18.50 (+18%)	£20.46 (+30%)

Having conducted a comprehensive assessment of Cerillion PLC's financial performance, competitive positioning, risk profile and intrinsic valuation, we initiate coverage with a **BUY / High Risk** rating and a revised **base-case target price of £18.50**, implying approximately **18% upside** from the 13 June 2025 reference price of £15.75.

The investment thesis is supported by five reinforcing pillars: (i) a mission-critical BSS/OSS platform with high switching costs and customer relationships typically exceeding 10 years; (ii) meaningful revenue visibility from a £261m sales pipeline, a £56.5m back-order book and recurring revenue representing around 35% of total revenue; (iii) an industry-leading margin profile, with FY2024 EBITDA margin of 47.7% supported by a capital-light, offshore-enabled delivery model; (iv) a debt-free balance sheet with £31.2m net cash at H1 FY2025; and (v) supportive sell-side consensus, with an average target price of £20.39 that sits close to our **£20.46 bull case**.

However, the investment case is not risk-free. Customer concentration, milestone-based revenue recognition, contract timing variability, valuation sensitivity and potential AI-led software disruption justify the **High Risk** classification and our more conservative base-case assumptions. Our DCF therefore uses an 8.0% revenue growth assumption, a 7.25% base-case WACC and a 2.5% terminal growth rate, producing the £18.50 base-case target. In a bull case, stronger pipeline conversion and lower perceived execution risk support a **£20.46 target price**. In a bear case, slower execution, weaker revenue growth and higher discount-rate pressure support a target price around **£14.75**.

Overall, Cerillion remains a high-quality, founder-led vertical software business with strong margins, a debt-free balance sheet and exposure to long-term telecom digital transformation. The risk-adjusted return profile remains attractive, but upside realisation depends on successful contract execution and continued pipeline conversion. We therefore rate the stock **BUY / High Risk** on a **12–24 month** view.

Cerillion PLC remains a high-quality AIM-listed vertical software business with strong margins, a debt-free balance sheet and attractive long-term market exposure. However, the investment case is execution-dependent and valuation-sensitive. On a 12–24 months view, we rate the stock BUY with a base-case target price of £18.50.

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DATA SOURCES: Financial data sourced from Cerillion's Annual Reports, H1 FY2025 Interim Report, Bloomberg, MarketScreener, IMARC Group, Allied Market Research, Damodaran Online and the World Bank. While sources are believed reliable, no warranty is given as to accuracy or completeness.

AIM MARKET RISKS: Cerillion PLC is listed on AIM. AIM shares may be less liquid than Main Market securities and carry elevated liquidity risk. Investment in AIM shares may not be suitable for all investors.

QUMMIF Equity Research | Report Date: 13 June 2025 | Cerillion PLC (AIM: CER) | Rating: BUY | Base-case Target Price: £18.50